

KCSE BUSINESS MODEL TEST PAPER

Kenya Certificate of Secondary Education (K.C.S.E.)

FORM 4 BUSINESS STUDIES

MODEL TEST PAPER 1-15

MARANDA HIGH SCHOOL

BUSINESS STUDIES

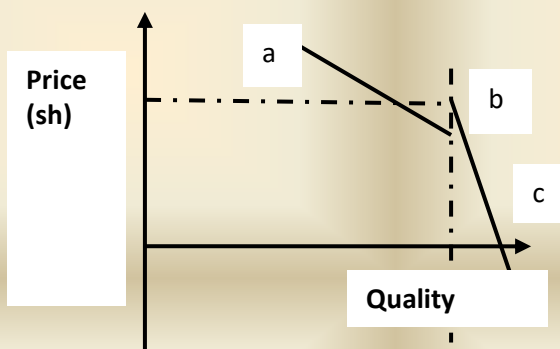
Paper 1

FORM 4 - MODEL TEST PAPER

1. State four reasons why a form four leaver would want to start a business (4 marks)
2. Outline four characteristic of services (4 marks)
3. Highlight four advantages of indirect production (4 marks)
4. State four reasons why business men observe ethical practice (4marks)
5. Identify the documents described below as used in home trade (4 marks)
 - (i) Sent by the seller to the buyer informing him that goods are on the way so as to prepare to receive them
 - (ii) Sent by the seller to the buyer to correct an undercharge in an invoice
 - (iii) Sent by buyers to the seller outlining the type of goods to be supplied
 - (iv) It is an answer to a specific inquiry
6. Outline four factors to consider when selecting an office layout (4 marks)
7. Highlight four factors that may cause the demand curve to shift to the right (4 marks)
8. State the circumstances under which each one of communication service would be used (4marks)
 - (i) Radio call
 - (ii) Telex
 - (iii) Speed post
 - (iv) Registered mail
9. Outline four ways in which consumers would suffer if there is no warehouse (4 mark)
10. Explain the meaning of the following as used in insurance (3marks)
 - (i) Principle of subrogation
 - (ii) Principle of indemnity
 - (iii) Doctrine of proximate cause
11. State four benefits which may accrue to a firm which expands its operation (4 marks)
12. State four account that record movements of stock in a business (4 marks)
13. The following relates to Sungura traders for the year ended 31st December 2016

Capital 1/1/2016	900,000
Netloss	30,000
Additional investment	200,000
Monthly drawing	7,500

Determine the capital as at 31st December 2016 (3 marks)
14. (i) Identify the market structure represented below (1 ma



(ii) Give an account for behavior between

(a) a and b

(2 marks)

(b) b and c

(2 marks)

15. State four indirect taxes that Kenyans government can use to collect revenue

(4 marks)

16. Highlight Four causes of inflation

(4 marks)

17. Outline four functions of non bank financial institution

(4 marks)

18. State four ways through which countries restrict trade with other countries

(4 marks)

19. For each of the following transaction indicate in the space provided the source document from which the transaction would be recorded

(4 marks)

	Transaction	Source document
(i)	Payment for goods	
(ii)	Credit sales	
(iii)	Correction of an overcharge in an invoice	
(iv)	Credit purchases	

20.

A leading company in Luanda town has been selling products of low qualities in the last two months. Outline four ways through which consumers may protect themselves from such exploitation.

(4 marks)

21. State four contents of articles of association in a joint stock company

(4 marks)

22. The following balances relates to Chuma traders for the years ended 31st December 2017

Sales 500,000

Purchases 320,000

Opening stock 80,000

Debtors 140,000

Creditors 90,000

Closing stock 40,000

Prepare a trading account for Chuma Traders

(5 marks)

23. Highlight four limitation of national statistics as a measure of standard of living

(4 marks)

24. State the type of unemployment relating to each of the following description

(4 marks)

(i) This is due to time loss as one move from one job to another _____

(ii) This is called by physical disability of an individual _____

(iii) It occurs where there are more employees than required _____

(iv) This is where people are willing to work at prevailing wage rate but there are no jobs available

25. Outline four circumstances under which a trader may offer after sales services (4marks)

MARANDA HIGH SCHOOL

BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1(a) Explain Five importance of entrepreneurship in an economy (10 marks)

(b) Outline five disadvantage of public corporation as a form of business unit (10 marks)

2 (a) Explain Five benefits that a customer may accrue for shopping in a hypermarket (10 marks)

(b) Sugar supply in the western belt of Kenya has been on decline in the last five years. Explain Five factors that would have lead to this trend (10 marks)

3 (a) Coffee exporters from Kenya prefer sea as a means of transport for their products to Europe. Explain five benefits they get for using this means (10 marks)

(b) Discuss five problems that a country is likely to experience for participating in international trade (10 marks)

4. (a) Explain five reasons why countries need development plans (10 marks)

(b) On 1ST October 2018, Bonde Trailer had shs 75,000 in hand and a bank overdraft of Shs. 19000 During the month the following transaction took place

October 1: Cash sales banked Shs. 48,000

October 3: Bought stock worth Shs. 9500 in cash

October 11: paid Chemtai, a creditor Shs.27, 000 by cheque in full settlement of his account of 28,000

October 15: Received a cheque for Shs .58, 800 from Jeptoo after allowing her a 2% cash discount.

October 18: Withdraws. 10,000 from the business bank for office use

October 24: Paid school fees for his son Shs. 38,000 in cash

October 29: Atieno a debtor paid her account of Shs. 45,000 by cheques less 3% cash account

October 31: Deposited all cash into bank.

Required

Prepare a duly balanced three column cashbook (10 marks)

5. (a) Explain five external factors that would contribute to the success of a business enterprise (10marks)

(b) Explain Five factors that would lead to increase in National income in Kenya (10 marks)

6 (a) Outline Five circumstances under which a producer may use a direct channel in distributing her goods (10 marks)

(b) The following trail balance was prepared by Sunkuli Traders on 31st December 2016

<u>Details</u>	<u>Dr. (Shs)</u>	<u>Cr. (Shs.)</u>
Premises	830,000	
Motor vehicles	1, 200,000	
Creditors	720,000	
Furniture	250,000	
Gross profit	1054,300	
Stock	75,000	
Bank	170,000	
Cash in hand	79,500	
Office expenses	103,800	
Discount	12,500	60,500
Salaries	78,000	
Capital		<u>964,000</u>
	<u>2798,800</u>	<u>2798,800</u>

Required

(i) A profit and loss account (4 marks)

(ii) A balance sheet for year ended (6 marks)

KENYA HIGH SCHOOL

BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

1. Outline four ways in which a good business structure is of benefit to a business organization (4 marks)
2. Outline four difficulties that would be faced by an individual in the satisfaction of human wants (4 marks)
3. Highlight four characteristics of less developed economies (4 marks)
4. Using a diagram, illustrate how a decrease in demand occurs while holding all factors Constant apart from price (4 marks)
5. State four circumstances under which it may be appropriate to use personal selling as a form of a product promotion (4 marks)
6. K Ltd a manufacturing firm has been performing poorly in the recent past years. Highlight four measures that they can take to improve their profitability (4 marks)
7. State four functions of commercial attaches (4 marks)
8. Give four reasons why some traders prefer to operate supermarket business (4 marks)
9. State four reasons why short message services(sms) is replacing letters as way of communication (4 marks)
10. 10. Describe four channels used when importing commodities (4 marks)
11. 11. State four circumstances under which a clerk may be employed to work in an Organization (4 marks)

12. Give four benefits that are likely to result from a modern railway network in the country (4 marks)
13. Outline four features of monopolistic Competition (4 marks)
14. State four merits of storing goods in a public warehouse (4 marks)
15. Give four benefits of business organizations maintaining a healthy environment (4 marks)
16. The table below shows description of different types of partners. Identify type of partners that match the description

Description	Type of partner
(a) Do not contribute capitals	
(b) Those whose private properties can be used to pay business costs	
(c) Do not participate actively in Management	
(d) Are above 18 years of age	

17. On 31st December 2013 KIU Traders had made a turnover of Sh. 80,000 for the year and closing stock of Sh. 10,000. If the business was working at a margin of 20%. Draw its trading account for the period ending 31st December 2013 (4 marks)
18. Mbuthia insured her house against fire six months later the house was completely destroyed by fire. Outline the procedure that should be followed before compensation is made (4 marks)
19. Highlight four causes of balance of payment disequilibrium (4 mark)
20. The average consumer prices for a certain commodity for various years is shown in the table below

Year	Consumer price
2010	147
2011	153
2012	162
2013	172

Calculate the consumer price indexes using 2010 as the base year (4 marks)

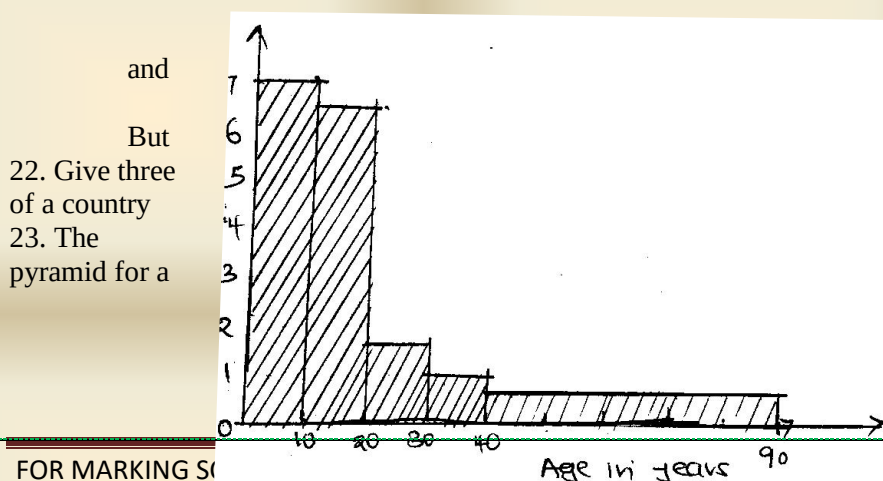
20. Match the following description of errors made when keeping books of account

Description	Error type
-------------	------------

- a) Occurs when error is both the debit and credit balances are of equal amount
- b) Occurs where a transaction is not Recorded at all in the books
- c) Occurs when entries are made in the

Wrong class of amount
d) Occurs where both the debit

Credit entries are made using similar erroneous figure
reasons why the per capital income may not change (3 marks)
diagram below shows a population certain country (4 marks)



**Population
in millions**

Age in years

Give four challenges facing this country

(4 marks)

24. Show the accounts to be debited or credited for the transactions

Transaction	A/c to debit	A/c to credit
a) Paid wages in cash		
b) Took business cash for private use		
c) Purchased office equipment on credit from Salo Ltd		
d) Paid telephone bill by cheque		

25. Outline four challenges that the government may face in allocating funds on recurrent expenditure (4 marks)

KENYA HIGH SCHOOL

BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

- 1a) Explain five circumstances under which an insurance company may not compensate the insured in the event of a loss. (10 marks)
- b) Explain five features of a perfect competition market.
- 2(a) Explain five problems associated with depreciation of currency in an economy. (10 marks)
- (b) Explain five ways in which the Kenya government can encourage entrepreneurship in Kenya. (10 marks)
- 3(a) Sori Traders made the following credit sales in the month of August 2010
1/8/10 Onyango Sh 2000, Pamzo Sh. 6000
5/8/10 Chacha Sh 5000
10/8/10 Kavuludi Sh 2500, Onyango Sh. 3000
15/8/10 Onyango Shs. 4500, Pamzo Sh. 5000
30/8/10 Otieno Sh. 8000, Ndugu Sh. 1500.
Enter the above transactions in the relevant journals, post the entries to the relevant ledgers and balance off the accounts (12 marks)
- (b) Explain four public sector activities aimed at attracting foreign investment (8 marks)
- 4 (a) Explain five methods which the central bank may use to reduce money circulation in the Economy (10 marks)
- b) Explain five benefits of privatizing government parastatals (10 marks)
- 5(a) Explain five problems which consumers may face where warehouses do not exist (10 marks)
- (b) High national income may not necessarily mean better welfare for the citizens of that country
Explain the above statement giving five reasons (10 marks)
- 6(a) Explain four reasons why demand for a commodity may not significantly rise with a decrease in price. (8 marks)
- (b) The following balances were extracted from the books of Panyako traders for the years ended 31/FORM 4/2010.
- | | |
|------------------|-------------|
| Stock 31/6/09 | Sh. 80,000 |
| Sales returns | Sh. 6,000 |
| Purchase returns | Sh. 4,000 |
| Sales | Sh. 600,000 |

Stock 31/7/2010	Sh. 60,000
Purchases	Sh. 360,000
Carriage inwards	Sh. 12,000

Calculate:

- | | | |
|-------|-------------------------|------------|
| i) | Margin | (3 marks) |
| (ii) | Rates of stock turnover | (3 marks) |
| (iii) | Mark up | (3 marks) |
| (iv) | Net purchases | (3 marks) |

KAPSABET BOYS HIGH SCHOOL

BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

1. Identify four types of business activities an entrepreneur may invest in. (4 marks)
2. State four factors to consider before a trader offers a credit to a customer. (4 marks)
3. Highlight four reasons why many business are adopting an open office layout. (4 marks)
4. Give an example for each of the following: (4 marks)

	Item	Example
i)	Free resource	
ii)	Human resource	
iii)	Non-material good	
iv)	Capital good	

5. Highlight four factors that may slow down the growth of Entrepreneurship in Kenya. (4 marks)
6. Three partners would like to engage in a partnership form of business without a written partnership agreement. Highlight how the Partnership Act will guide them regarding : (4 marks)
 - a. Profit and loss sharing
 - b. Salary to partners
 - c. Loans given to the business by a partner
 - d. Admission of a new partner
7. Explain briefly the following trends in forms of business units. (4 marks)
 - a. Franchising
 - b. Globalization
 - c. Cartels
 - d. Check off system
8. Highlight four reasons why Consumer Associations may not be effective in their consumer protection efforts. (4 marks)
9. Mention four circumstances under which a producer will find it necessary to transport goods by a train. (4 marks)
10. Outline four roles played by warehouses in trade. (4 marks)
11. List four errors that may make a trial balance not to balance. (4 marks)
12. Highlight four functions of advertising agencies to an advertiser. (4 marks)
13. Highlight four contemporary trends in communication in Kenya today. (4 marks)
14. State four reasons that may prompt an investor to locate his firm near the market for his products. (4 marks)
15. Highlight three benefits of business that uses social media platforms in promoting its products is likely to have over its competitors. (3 marks)
16. The table below shows the age distribution of a given country.

Age bracket	0-15	16-55	56 and above
Percentage composition	45	31	24

State any four negative economic implications of this age distribution to a country. (4 marks)

17. Outline any four features of oligopoly market. (4 marks)
18. Below is the balance sheet of Willy Traders as at 31st Dec 2018.

Willy Traders'
Balance sheet
As At 31st Dec 2017

Fixed Assets	87,800	Capital 1/1/2017	78,000
Current Assets	55,200	Add Net Profit	<u>42,000</u>
		Net capital	120,000
		Current liabilities	<u>23,000</u>
	<u>143,000</u>		<u>143,000</u>

Calculate:

- i. Current ration (2 marks)
 - ii. Return on capital. (2 marks)
19. The following statements relate to terms used in the study of national income for any country. Identify the most appropriate term for them. (4 marks)
- a. The total monetary value of commodities produced in a year.
 - b. Income attributed to one person per year in a country.
 - c. Factors that lead to an increase in the income and expenditure in the circular flow of income.
 - d. Capital consumption during production.
20. State four reasons why inflation may be desirable in a country. (4 marks)
21. Journalize the following transactions relating to Kipingo Traders for the year 2011. (5 marks)
- Jan 5. Cash Purchases sh. 8920 receipt no. 517
- Jan 12. Paid Juma Shs. 9800 by cheque after having been allowed a cash discount of 2% receipt no. 0951
- Jan 17 Banked Shs. 6000 from the cash till
- Jan 19 Paid for repairs in cash Shs. 14000, receipt no. 0251.

Cash payments journal

Date	Details	Receipt No.	L.F	Disc. Received	Cash	Bank

- 22. Other than serving as a medium of exchange, mention four other functions of money. (4 marks)
- 23. Outline four duties of Commercial attaches. (4 marks)
- 24. Outline four ledger accounts used for recording movement of stock. (4 marks)
- 25. Outline four differences between hire purchase and installment buying. (4 marks)

Hire Purchase	Installment Buying
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KAPSABET BOYS HIGH SCHOOL
BUSINESS STUDIES
Paper 2

FORM 4 – MODEL TEST PAPER

1. a. In spite of the benefits of large scale operations, small scale firms continue to exist. Explain the factors that justify the existence of such small firms. (10 marks)
- b. Using a diagram, explain the effects of increase in demand for a commodity on market equilibrium when its supply remains constant. (10 marks)
2. a. Explain five factors that determine the premiums to be charged in property insurance. (10 marks)

marks)

- b. Explain five principles that guide the tax system in a country. (10 marks)
3. a. Highlight four ways through which a government can provide an enabling environment for the success of business activities in a country. (8 marks)
- b. On first March 20 - 6, Najib had cash in hand Kshs. 7800 and a bank overdraft of Kshs. 23,400. During the month, the following transactions took place;
- March 3 : Cash sales Shs. 6500 paid direct in to the bank
- March 4 : Bought goods for Shs. 15,000 and paid by cheque.
- March 6 : Cash sales Shs. 50,000
- March 9 : Received a cheque for shs. 18000 from Amolo in full settlement of his debts.
- March 13 : Paid insurance premiums shs. 16,000 in cash.
- March 14 : Paid Kamotho by cheque sh. 9,700 in full settlement of his account less 3% cash discount
- March 17 : Cash sales Shs. 150,000 paid direct in to bank.
- March 21 : Withdrew Shs. 30,000 from bank for office use.
- March 23 : Received a cheque of sh. 23,750 from Rotich in full settlement of his account less 5% cash discount.
- March 25 : Paid wages of sh. 20,000 in cash.
- March 26 : Cheque received from Amolo was dishonoured.
- March 30 : Banked all cash except sh. 30,000.
- REQUIRED : Prepare a duly balanced three column cash book. (12 marks)
4. a. Explain five benefits that Kenya would get if the Government encourages location of a business in rural areas. (10 marks)
- b. Despite the announcement by the Government that the country has achieved 6% economic growth, this has not been translated to economic development. Discuss five indicators of under development currently experienced in Kenya. (10 marks)
5. a. Describe five circumstances under which a manufacturer would find it necessary to sell his products directly to the consumer. (10 marks)
- b. Explain five benefits of filing office documents to an organization. (10 marks)
6. a. Highlight any four distinguishing characteristics between a public limited company and a public corporation. (8 marks)
- b. The following trial balance was extracted from the books of Bumala Traders on Dec 2017.

Bumala Traders
Trial Balance
As at 31st/Dec/2011

Particulars	Dr	Cr
Sales		720,000
Purchases	340,000	
Returns	20,000	18,000
Rent	16,000	
Advertising	24,000	
Commission		9,000
Debtors & Creditors	54,000	64,000
Stock 1/1/2011	60,000	
Insurance	30,000	
Drawings	40,000	
Furniture & Fittings		100,000
Cash in hand	15,000	
Premises	400,000	
Capital	288,000	
	1,099,000	1,099,000
Additional information.		

- i. Stock as at 31st Dec, 2011 was sh. 52,000
- ii. Rent accrued sh.60,000.
- iii. Insurance paid in advance sh. 4000
- iv. Commission due sh. 5000.
- v. Salaries owing Sh. 21,000.

Required :

- A. Prepare a trading, profit and loss account for the year ended 31st Dec, 2011.
- B. Balance sheet as at that date . (12 marks)

MANG’U HIGH SCHOOL

BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

1. List four components of Business Studies. (4 marks)
2. Outline four reasons why a firm would prefer to locate near the market of its products. (4 marks)
3. Three partners would like to engage in a partnership form of business without writing a partnership deed. Highlight how a partnership Act would guide them in the following aspects. (4 marks)
 - i) On profit sharing
 - ii) On salaries sharing
 - iii) On loans given by a partner
 - iv) On admission of a new partner
4. State the account to be debited and the one to be credited in the following transactions. (4 marks)

Transaction	Debit	Credit
a) Deposited Ksh.10,000 into business bank		
b) Sold goods on credit Ksh.50,000		
c) Brought an old tractor worth Ksh.200,000 into business		
d) Paid a creditor by cash Ksh.15,000		

5. Outline four challenges that may be experienced by those who use cell/mobile phones in communication. (4 marks)
6. State four reasons why consumers must make a choice when satisfying human wants. (4 marks)
7. On 1st January 2010, the capital in John’s business was Ksh.78,000 while on 31st December that year the capital was Ksh.95,000. During the year John made a net loss of shs.36,000 and made an additional investment of Ksh.65,000 into the business. Calculate the drawings that John made during the year. (4 marks)
8. Outline four circumstances under which containerisation may be used to transport goods. (4 marks)
9. Highlight four internal business environment factors that may negatively affect the operations of a business. (4 marks)
10. The table below illustrates the demand and supply of a commodity.

Price (shs)	Demand (kg)	Supply (kg)
25	80	40
30	70	50

35	60	60
40	50	70
45	40	80

From this table state: (4 marks)

- The effect of increase in price on demand
- The effect of increase in price on supply
- Equilibrium price
- Equilibrium quantity

11. Outline four benefits of advertising to the consumers. (4 marks)

12. List four documents prepared by the buyer in home trade. (4 marks)

13. Indicate on the spaces provided whether the following factors will lead to increase or decrease of the income in circular flow of income. (4 marks)

Factors	Effect
i) Savings	
ii) Government expenditure	
iii) Taxes	
iv) Investment	

14. State four sources of monopoly power. (4 marks)

15. Highlight four ways in which a firm may improve productivity of its human resources. (4 marks)

16. The following is an extract of a cash book from Kangema traders.

Date	Details	Cash (shs)	Bank (shs)	Date	Details	Cash (shs)	Bank (shs)
2006				2006			
Jan 1	Bal b/d	12,500		Jan 1	Bal b/d		5,500
Jan 5	Sales		7,200	Jan 8	Wages	2,400	
Jan 10	Cash		1,500	Jan 10	Bank	1,500	

i) Give the name of this cash book.

ii) State the name of the entry made on Jan. 1 on the credit side.

iii) State the name of the transaction of Jan 10 2006

iv) Describe the transaction on Jan 8 2006

17. Give the name of the insurance policy described in the following table. (4 marks)

18. State four challenges that a country with a young population may experience. (4 marks)

19. State the best type of machine one would use to perform the following tasks. (4 marks)

20. Highlight four factors that may make a manufacturer not to involve a wholesaler in distributing his goods. (4 marks)

21. Highlight four ways in which the government of Kenya promotes entrepreneurial development. (4 marks)

22. Outline four circumstances in which the government may need to involve in business. (4 marks)

23. Identify the type of warehouse that match with each of the following descriptions. (4 marks)

24. The balances given below relates to Jose traders for the period ended 30th June 2018.

Item	shs.
2 year bank loan	230,020
Fixed assets	480,000
Creditors	95,200
Current assets	145,220

Prepare a balance sheet. (4 marks)

25. State four sources of capital to a public corporation. (4 marks)

MANG’U HIGH SCHOOL

BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1. a) Explain five circumstances when an office manager may decide to replace an existing machine with a modern one. (10 marks)
b) With the aid of a diagram explain the effects of an increase in taxes to the demand for fuel in Kenya if the supply remains the same. (10 marks)
2. a) Explain five advantages of operating a business as a sole proprietor. (10 marks)
b) Outline five differences between a monopoly and a monopolistic competition. (10 marks)
3. a) The following information was extracted from the books of Muranga traders in the month of September 2017.
Sept 1 Cash in hand sh 15500 and a bank overdraft of shs 9700
Sept 3 Bought goods for sale shs 12,300 on credit.
Sept 5 Sold goods in cash shs 8,500
Sept 9 Sold goods on credit sh 10,000
Sept 12 received a cheque of shs 9,000 from a debtor.
Sept 15 Paid creditors shs 10,000 cash.
Sept 17 Paid wages sh 2,600 in cash
Sept 19 Received a cheque shs23,400 from Samson for goods sold in January
Sept 20 Received 6,700 from a debtor in cash
Sept 23 Withdrew sh 7,700 from bank for office use
Sept 24 Paid electricity bills by cheque sh 1,200
Sept 25 Received a cheque of shs 11,500 from a debtor
Sept 26 Made cash sales of shs 12,800
Sept 27 Purchased goods worth shs 8,950 in cash
Sept 28 Deposited personal cash sh 3,500 into the business bank account.
Sept 30: Paid water bills by cheque sh 2,800
Required: Prepare a two-column cash book. (10 marks)
b) Explain five circumstances under which a producer will find it necessary to transport goods by train. (10 marks)
4. a) Explain five ways in which the entrepreneur contributes to the production of goods. (10 marks)
b) Explain five problems encouraged when measuring national income using the income approach. (10 marks)
5. a) Explain any five forms of advertising that a trader can use to promote his products. (10 marks)
b) Explain five circumstance when cash payment would be preferred to a cheque payment. (10 marks)
6. a) Explain five measures that the Kenya government has put in place to protect consumers from unscrupulous business practices. (10 marks)
b) Mathioya traders started a business on 1st January 2016 with capital in cash shs 120,000. The following transaction took place during the first week of the month;
Jan 2 Opened a bank account and deposited cash shs 90,000
Jan 3 Bought stock of goods worth sh 40,000 and paid sh 20,000 cash and the balance to be paid later.
Jan 4 Cash sales directly banked shs 12,000
Jan 5: Paid rent shs 2,000 cash
Jan 5: Sold goods worth sh 21,000 and payment received by cheque.
Jan 6: Bought office equipment ash 150,000 by cheque.
Jan 7: Received a commission shs 3,000 from Arap Toroitich in cash
Required: Prepare relevant ledger accounts, balance them off on 7th January 2016 and extract a trial balance as at that date (10 marks)

STRATHMORE SCHOOL

BUSINESS STUDIES**Paper 1****FORM 4 – MODEL TEST PAPER**

1. Outline four factors that hinder entrepreneurship in Kenya. (4mks)
2. State four factors considered before offering credit facilities to customers. (4mks)
3. Mention four circumstances under which a manager of a company may use downward communication. (4mks)
4. Highlight four factors that a producer consider before choosing a channel of distribution. (4mks)
5. State four characteristics of goods. (4mks)
6. Identify four types of advertising. (4mks)
7. A house with a value of Ksh. 2,000,000 is insured for Ksh.1200, 000 against fire. The value of the house destroyed by fire is Ksh. 1,000,000. Calculate the amount the insured was compensated after the loss. (4mks)
8. Outline four features of a savings account. (4mks)
9. Outline four reasons for differences in terms of trade between Kenya and United States of America. (4mks)
10. State the best types of machine one would use to perform the following tasks. (4mks)

Function	Types of machine
a) To trim papers to the required sizes	
b) To destroy sensitive but unwanted documents.	
c) To fold documents, put them in envelope and seal them.	
d) To create postage impression on the envelope.	

11. Mention four challenges that Kenya may encounter in developing planning at the formulation stage. (4mks)
12. List four problems of using expenditure approach in the calculation of national income. (4mks)
13. State the effects of the following transactions on the balance sheet totals. (4mks)

TRANSACTION	EFFECT
e) Paid creditors by cheque	
f) Sold goods on credit.	
g) Converted personal car for business use.	
h) Deposited cash into bank.	

14. Outline four benefits that Mr. Kamau will get by being a member of capital SACCO. (4mks)
15. The following information relates to Meru traders for the year ended 31 December 2017. (4mks)

Sales	1000,000.
Opening stock	100,000.
Closing stock	200,000.
Gross profits.	200,000

 Calculate rates of stock turnover. (4mks)
16. Mention four methods that determine the prices of commodities in the market apart from price mechanism. (4mks)
17. State four principles of public expenditure. (4mks)
18. Highlight four reasons why the Kenyan consumer organization have been ineffective in protecting consumer. (4mks)
19. Use the following information for Ngugi Wholesalers to prepare sales return day book. (4mks)

2017

November 1	Emily returned goods worth. Ksh. 1000.
November 10.	Nathan returned goods valued at Ksh. 900.
November 15.	Returned goods to Chris worth. Ksh.500.
November 30.	Muthinja returned goods worth Ksh. 800.

20. Identify five steps taken in procuring an Insurance cover. (5mks)
21. State three factors within a business that may affect its performance. (3mks)
22. Record the following transaction in the relevant ledger accounts.
2018.
Jan. 1 started a business with Ksh. 100,000 at the bank.
10. Bought goods valued at ksh. 2000 by cheque.
23. State four ways through which a firm may acquire a monopoly position. (4mks)
24. Kenya is one of the countries in the world that is experiencing unemployment problem. Identify four causes of this problem. (4mks)
25. State four differences between shares and debentures (4mks)

<i>Shares</i>	<i>Debentures</i>
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STRATHMORE SCHOOL BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1. a) Explain five shortcomings of direct production. (10mks)
b) Outline five differences between a co-operatives society and a private limited company. (10mks)
2. a) Explain five measures to undertake in order to increase efficiency of a warehouse. (10mks)
b) Explain five benefits that would accrue to a business that expands its scale of operation. (10mks)
3. a) Explain four features of a monopoly. (8mks)
b) The following trial balance belongs to wakili traders as at 30th June 2016.

Wakili Tradres Trial balance As at 30th June 2016

	Dr.	Cr.
Stock 30/06/15	4000	
Capital		162,300
Purchase and sales	35,000	70,000
Drawings	6,000	
Furniture and fittings	20,000	
Motor Vehicle	150,000	
Debtors and creditors	8,000	12,000
Returns	2,000	4,800
Discount	800	700
Wages and salaries	15,000	
Rent	3,500	
Insurance	2,100	
Commision	400	
Bank		3,000

Cash	6000	
	<u>252,800</u>	<u>252,800</u>

Required

i) Prepare a trading profit and loss account and a balance sheet as at 30th June 2016. (12mks)

4. a) On 1st Jan 2017 Dona traders had, sh. 110, 000 in hand and 50,000(cr) Bank. During the month, the following transactions took place.

Jan. 2 Cash sales 40,000.

“ 3 Paid postage expenses 4100 in cash.

“ 5 Received the following cheques from debtors after they had deducted a cash discount of 2% in each case.

Kamau Ksh. 2450, Laban Ksh. 9604 and Tugi Ksh 2774.

9 Paid the following creditors in cash and in each case deducted 2% cash discount, Willy Ksh. 2000 and Yala Ksh. 6000.

13 Cash sales directly baked Ksh 10,000.

16 Took Ksh. 11,000 from the office and deposited in the business bank account.

19 Sold goods worth Ksh. 18000 on credit to Kiyoma.

21 Received Ksh.18000 cash from Oman in settlement of his account of Ksh. 20,000.

26 Took oil cash to the bank leaving Ksh.4000 only.

Required : Prepare a duly balanced three column cashbook. (10mks)

- b) Explain five characteristics of a life assurance policy. (10mks)
5. a) State and explain five emerging trends in the Banking industry. (10mks)
- b) Explain five negative effects of rapid population growth. (10mks)
6. a) Explain five reasons why a country would carry out development planning before undertaking its projects. (10mks)
- b) Explain five benefits of adopting the use of an open office layout. (10mks)

ALLIANCE BOYS HIGH SCHOOL

BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

- Outline **four** advantages of personal selling as a method of product promotion (4mks)
- Briefly define the following terms as used in transport (4mks)
 - mode of transport
 - means of transport
 - method of propulsion
 - terminal
- Identify **four** sources from which business ideas can be generated (4mks)
- Outline **four** features of economic resources (4mks)
- State **four** types of business activities (4mks)
- Listed below are various forms of production. For each form of production indicate using a tick (✓) the correct classification in the appropriate column (4mks)

Form of production	Primary	secondary	Tertiary
Transportation			
Farming			
Lumbering			

House building			
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7. Give **four** reasons why an entrepreneur needs to prepare a business plan (4mks)
8. State **four** advantages of using the internet as a means of communication (4mks)
9. Outline **four** ways in which individual consumers may protect themselves against exploitation by unscrupulous business persons (4mks)
10. Using the balance sheet equation, calculate the missing figures represented by A,B,C and D in the table below. (4mks)

	Capital (Ksh)	Liabilities (Ksh)	Assets (Ksh)
(i)	A	2192	19840
(ii)	27923	B	100920
(iii)	130,000	275300	C
(iv)	D	210560	475120

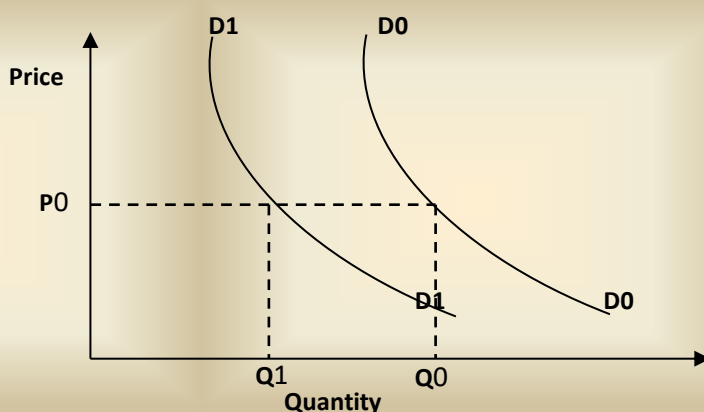
11. Outline **four** negative effects of a youthful population to an economy (4mks)
12. Highlight **four** circumstances under which a producer would not need a lot of warehousing space or facility (4mks)
13. Outline **four** disadvantages of public limited companies (4mks)
14. State **four** advantages of an open office layout (4mks)
15. Highlight **four** importance of a national income statistics to a country. (4mks)
16. Outline **four** features of life assurance (4mks)
17. Highlight **four** characteristics of an oligopolistic market structure (4mk)
18. The following relates to Jaba business for the year ended 31-12-2017

Capital as at 31-12-2017	Sh.85,000
Drawings for the year	Sh.13,000
Net loss for the year	Sh.6000
Extra capital introduced in the year	Sh.33,000

Required :Determine his capital on 1-1-2017 (4mks)
19. State **four** factors that may influence a firms decision on what to produce (4mks)
20. The following are some of the documents used in home trade. Cash sale receipts catalogue, invoice and statement of account. Match each document with the appropriate description provided in the table below.

Description	Document
(a) Shows details of goods offered	
(b) Give quantity, unit price and total amount to be paid	
(c) Show transactions since the date of last statement	
(d) Shows description of goods bought, prices and total amount paid	

21. The figure below shows a shift in demand for a commodity from D_0D_0 to D_1D_1 (4mks)



State **four** possible causes that have led to this situation

22. Outline **four** factors to consider when choosing a distributing channel (4mks)
23. State **four** social responsibilities that Muhoroni Sugar Company should have on the community (4mks)
24. Give **four** reasons why one would prefer a letter to a telephone to send a message (4mks)
25. Outline **four** unethical practices in product promotion (4mks)

ALLIANCE BOYS HIGH SCHOOL BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1. (a) Outline **four** circumstances under which a seller would require a buyer to effect payment under cash with order (CWO) terms (8mks)
(b) Explain **six** external factors that may affect business operations (12mks)
2. (a) Describe **five** factors which may encourage localization of firms (10mks)
(b) Explain **five** disadvantages of containerization as a method of transporting goods (10mks)
3. (a) Explain **five** reasons that justify the involvement of government in business activities (10mks)
(b) The following transactions were extracted from Singo Enterprises during the month of FORM 4 2018
FORM 4 1: started business with cash sh.40,000
12: bought goods in cash sh. 5,000
17: bought a typewriter worth sh.10,000 cash
30: sold goods on credit to Awasi Traders sh.500

Required:

Enter the above transactions in the relevant ledger accounts and balance them off (10mks)

4. (a) Using a well labeled diagram, illustrate the effect of an increase in demand on equilibrium price and quantity (10mks)
(b) Explain **five** benefits that a society derives from engaging in indirect production (10mks)
5. (a) Outline **five** features that distinguish a public corporation from a cooperative society (10mks)
(b) Highlight **five** factors which an Entrepreneur should consider when evaluating a viable business opportunity (10mks)
6. a) Explain **four** principles of Insurance (8mks)
(b) On January 2018, the cash book of Kibigori Traders showed a cash and bank balances of sh 3,000 and sh 150,000 respectively. During the month, the following transactions took place:
Jan 2: Cash sales sh.12,500
10: Received a cheque for sh.25,000 from Koru Traders, a debtor
15: Paid sh.1,200 cash in respect of wages
25: Withdraw sh. 18,000 from bank for office use
28: Paid sh.14,200, a creditor, by cheque
29: Banked all cash except sh. 5,000

Required:

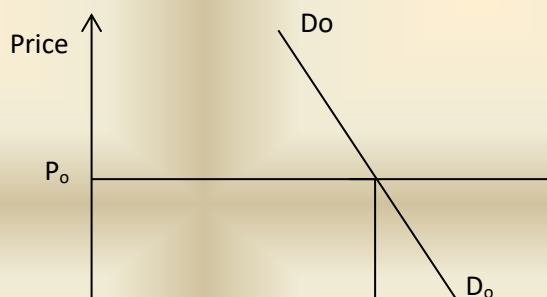
Prepare a two-column cash book for the month, duly balanced (12mks)

PRECIOUS BLOOD SCHOOL BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

1. Outline **four** reasons that account for the existence of business. (4mks)
2. Outline **four** methods of generating business ideas. (4mks)
3. The diagram below shows the current demand petrol.



- (a) What is the effect of a fall in the price of cars on demand for petrol? (2mks)
 (b) Draw the new demand curve on the diagram above to show the effect of a fall in price of cars (2mk)

4. Give **four** differences between demand deposits and time deposits. (4mks)

Demand deposits	Time deposits
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5. Identify **four** factors that influence the decision made by a firm on what goods and services to produce. (4mks)

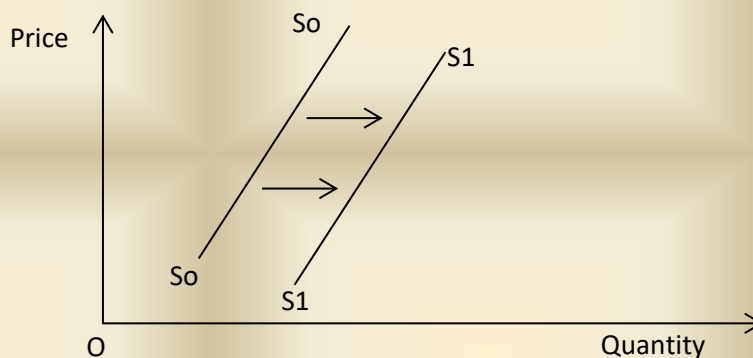
6. In the space provided below state whether each of the following transactions will increase, decrease or have no effect on capital. (4mks)

Transaction	Effect on capital
(a) Business made profit in the year.	
(b) Owner brought in personal vehicle to be used in business.	
(c) Owner withdrew stock for personal use.	
(d) Paid outstanding salaries by cheque.	

7. Outline **four** functions of an office. (4mks)

8. Outline **four** difficulties faced in the process of satisfying human wants. (4mks)

9. The diagram below represents a shift in the supply curve of commodity from S_0 to S_1 .



State **four** factors that may have led to this. (4mks)

10. Record the following transaction in the relevant ledger account. (4mks)

- Kibet started business with sh.100,000 in cash on 1st Jan 2008.
- Bought motor van for sh.27,500 cash on 2nd Jan 2008.
- Fixtures bought on credit from shop flitters for sh.11,500 on 3rd Jan 2008.
- Paid amount owing in cash to shop flitters on 7th Jan 2008.

11. Match the following types of advertising with its appropriate description in the table below. Product advertising, informative advertising, institutional advertising, competitive advertising.

Description	Type
(a) Treats awareness about a product.	
(b) Promotes the name of manufacturer.	
(c) Persuade the consumer to buy a product.	
(d) Promotes a particular brand of product.	

12. Give **four** reasons why monopoly is unpopular among the customers. (4mks)

13. Outline **four** forms of knowledge that may be acquired through learning business studies in secondary schools. (4mks)

14. Calculate the net profit or loss made from the following details: (4mks)

	Sh.
Capital on 1.1. 2010	80,000
Drawing during the year	20,000
Additional capital	120,000
Capital on 31.12.2010	300,000

15. Outline **four** circumstances under which a seller may find deferred payments appropriate. (4mks)
 16. State **four** reasons why Railway transport is unpopular in Kenya when compared to road. (4mks)
 17. In the table below, state the book of original entry into which each of the following would be entered. (4mks)

Transaction	Book of original entry
(a) Credit purchases of sh.10,000	
(b) Good previously sold on credit are returned.	
(c) Cash sales sh.120,000.	
(d) Payment of goods purchased is made by cheque.	

18. The following balances were extracted from the books of Soilo Traders as at 31st Dec 2009.

	Shs.
Premises	60,000
Machinery	37,500
Debtors	8,500
Long term loan	52,000
Cash in hand	6,000
Outstanding electricity	5,000
Profit for the year	15,500

Prepare a balance sheet.

(4mks)

19. Outline **four** roles of Central bank in an economy. (4mks)
 20. Outline **four** circumstances under which insurance companies in Kenya may reinsure. (4mks)
 21. The table below shows items that affects the trading or profit and loss account. Indicate with a tick (✓) in the appropriate column, the items associated with each account. (4mks)

Item	Trading a/c	Profit and loss a/c
(a) Returns inwards.		
(b) Depreciation.		
(c) Bad debts.		
(d) Carriage inwards.		

22. Give **four** reasons why a manufacturer firm would be located in an area well served by good road network (4mks)

23. The following information was extracted from the books of Marigat traders. (4mks)

Rate of stock turnover	3 times
Mark-up	20%
Opening stock	90,000
Closing stock	150,000

Calculate:

- (i) Gross profit:
 (ii) Sales

24. Outline **four** characteristics of capital as a factor of production. (4mks)
 25. Give **four** ways in which retailers benefit from wholesalers. (4mks)

PRECIOUS BLOOD SCHOOL BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1. (a) A retailer might decide not to offer credit facilities to all his customers. Explain **five** effects of his decision to his business. (10mks)
 (b) Discuss **five** reasons why an effective filing system is important in an office. (10mks)
 2. (a) Explain **five** problems that may be encountered in the measurement of national income in a developing country like Kenya. (10mks)
 (b) The following information relate to Mochongi Stores for the month September 2009.

	Shs.
Drawing	250,000
Rent and rates	5,000
Sales	1,200,000
Salaries and wages	200,000
Transport expenses	3,000
Motor vehicle expenses	16,000
Electricity	10,000
Office expenses	2,000
Cost of sales	800,000
Water expenses	2,000

Required:

- (i) Prepare the trading, profit and loss account for the month ended 30th September 2009. (6mks)
 (ii) Calculate the mark-up and margin percentage. (4mks)
 3. (a) On 1st Jan 2009, Sabor Traders had cash in hand sh.174,000 and cash at bank sh.500,000. During the month the following transactions took place:
 Jan 12th : Bought office furniture by cheques sh.170,000
 Jan 16th : Settled Kosgei's account of sh.80,000 in cash having deducted sh.1,600 cash discount.
 Jan 18th : Received a cheque of sh.300,000 in respect of cash sales.
 Jan 21st : Paid wages sh.48,000 in cash.
 Jan 22nd : Withdrew sh.60,000 from bank for office use.
 Jan 25th : Took Sh.33,000 cash from Mondis in settlement of his a/c.
 Jan 30th : Deposited all the money into bank except sh.50,000.
 Prepare a three column cash book duly balanced.(10mks)
 (b) Explain **five** shortcomings of public warehouse. (10mks)
 4. (a) Explain **five** implications of an aging population on development. (10mks)
 (a) With the aid of a diagram, explain the effects of an decrease in supply on equilibrium price and quantity under a normal demand situation.
 5. (a) Explain **five** factors that have rendered barter system of trade inferior. (10mks)
 (b) Using a well labelled diagram, explain the circular flow or income in a two sector economy. (10mks)
 6. (a) Explain **five** factors that determine the choice of a medium of advertising. (10mks)
 (b) Explain **five** benefits that one stands to reap by becoming self-employed after studies. (10mks)

ALLIANCE GIRLS' HIGH SCHOOL BUSINESS STUDIES

Paper 1

FORM 4 – MODEL TEST PAPER

1. Highlight four ways in which a firm can improve productivity of its human resources. (4 marks)
2. Outline four possible consequences of poor arrangement of goods in a warehouse. (4 marks)
3. There are missing figures in the table below. (4 marks)

	FA	CA	C	L
a)	275,500	W	315,000	115,500
b)	182,000	108,700	X	217,100
c)	Y	76,400	123,100	91,900
d)	313,450	211,340	189,170	Z

Calculate :

- i. W =
 - ii. X =
 - iii. Y =
 - iv. Z =
4. State four reasons why consumers have to make a choice when satisfying competing wants. (4 marks)
5. State four factors that would influence the amount of money that an individual may hold for transaction purposes. (4 marks)
6. Outline four circumstances under which an insurance company may refuse to compensate the insured in times of loss. (4 marks)
7. State four errors that may not affect the balancing of a trial balance. (4 marks)
8. Outline four functions of the Kenya Bureau Of Standards (KEBS). (4 marks)
9. The information given below was extracted from the books of Kambo Traders on 31st May 2016.

Kshs

Purchases 260, 000
Opening stock 75, 000
Carriage on purchases 12, 500
Closing Stock 27, 500
Goods were sold at a margin of 25%.
Using the information provided above, prepare Kambo trading account for the period ended 31st May 2016. (5 marks)
10. Outline four differences between a monopoly and a monopolistic competition. (4 marks)
11. Name any three equipment that are used in document reproduction in an office. (3 marks)
12. Outline four reasons why savings and credit Co-operative Societies are becoming very popular in Kenya today. (4 marks)
13. Name the documents described by the statements given below as used in International trade. (4 marks)
 - a. Requests for payment before goods are delivered.
 - b. Shows ownership or title of imported goods.....
 - c. Show the country of manufacture of goods.....
 - d. Show the transport charges for goods.....
14. The following balances of assets and liabilities were provided by Njogu Enterprises on 31st December 2017. Shs.
Bank overdraft 160, 000
Land 400,000
Accrued Electricity bill 100,000
Stock 20,000
Debtors 40,000
Drawing of Shs 4,000 were made every month during the year. Prepare a balance sheet as at 31st December 2017. (4 marks)
15. Mention four non– tax internal sources of revenue to the government. (4 marks)
16. A business opportunity may exist where there are certain gaps in the market.. Highlight four such gaps. (4 marks)
17. Outline four circumstances under which a trader may choose to transport his goods by air. (4 marks)
18. State four uses of National income statistics. (4 marks)
19. Highlight four features of mail order shops in home trade. (4 marks)
20. Outline four reasons why a firm may choose to remain small. (4 marks)
21. State four limitations of using internet as a means of communication despite its popularity in the world today. (4 marks)
22. Distinguish between the following terms as used in population. FDSX
 - a. Immigration and emigration. (2 marks)
 - b. Declining population and under population. (2 marks)

23. Outline four reasons why ethical practices are necessary in product promotion. (4 marks)
24. Highlight four problems that Kenya may experience in implementing its development plans. (4 marks)
25. List four factors that can cause demand pull inflation. (4 marks)

ALLIANCE GIRLS' HIGH SCHOOL

BUSINESS STUDIES

Paper 2

FORM 4 – MODEL TEST PAPER

1.
 - a. Describe any five features of economic resources. (10 marks)
 - b. Explain five disadvantages that a country may experience from imposing trade restrictions on trading partners. (10 marks)
2.
 - a. Explain five differences between a public cooperation and a private limited company. (10 marks)
 - b. The following information was extracted from the books of Kema traders as at 31st Dec 2009

Bank Loan	567 000
Bank Loan interest	1 440
Capital	1 680 000
Closing stock	87 000
Creditors	272 400
Debtors	140 280
Discount allowed	170 400
Electricity	30 240
Furniture	489 804
Furniture repairs	86 436
Gross profit	624 720
Maintenance on premises	72 000
Motor vehicle	1 080 000
Motor vehicle maintenance	360 000
Premises	648 000
Rent received	144 000
Sundry expenses	122 520

Prepare :

 - i. Profit and loss account for Kema traders for the year ended 31st Dec 2009.
 - ii. Balance sheet as at 31st Dec 2009. (10 marks)
3.
 - a. Highlight five problems encountered when measuring the national income of a country. (10 marks)
 - b. Explain five limitations a business that relies on the use of motor cycle transport is likely to encounter. (10 marks)
4.
 - a. Explain five qualities of a successful salesperson. (10 marks)
 - b. With the aid of a well labelled diagram, explain the effects on the equilibrium of an increase in the supply of carrots while the demand remains constant (10 marks)
5.
 - a. On 1st June 2014, Kinyua had Shs. 110, 000 cash and Shs. 500, 000 at bank. During the month the following transactions took place;

June 2	:	Cash sales banked sh. 70, 520
June 5	:	Bought furniture in cash sh 9000
June 10	:	Paid Joshua, a creditor sh. 188 000 by cheque in full settlement of his account after deducting 6% cash discount.
June 12	:	Received a cheque of sh117, 600 from Juma after allowing him a cash discount of sh. 2,400.
June 15	:	Paid salaries sh. 68 000 cash.
June 20	:	Withdrew sh. 100, 000 from bank for office use.
June 29	:	Awino, a debtor paid her account of sh. 150 000 by cheque less 10% cash discount
June 30	:	Deposited all the cash in to the bank except sh. 27 400.

Required : Prepare a three column cash book and balance it off. (10 marks)
 - b. Explain five benefits that would accrue to a country that encourages entrepreneurship. (10 marks)
6.
 - a. Using a suitable diagram, explain the habits of sellers in an oligopoly market. (10 marks)
 - b. Outline five features of an efficient tax system. (10 marks)

FRIENDS SCHOOL KAMUSINGA
BUSINESS STUDIES
Paper 1
FORM 4 – MODEL TEST PAPER

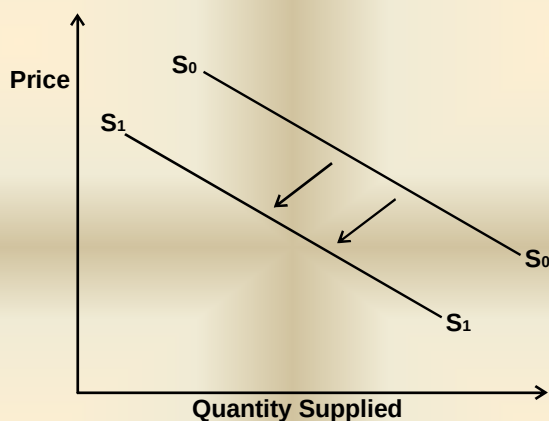
1. Outline **four** differences between partnerships and sole proprietorship. (4 marks)

Partnerships

Sole proprietorships
2. State **four** benefits of selling in cash. (4 marks)
3. Indicate with a tick in the spaces provided below, whether each of the following resources is renewable or non-renewable. (4 marks)

	Resources	Non-renewable	Renewable
a)	Solar energy		
b)	Oil		
c)	Soda-ash		
d)	Water		

4. Outline 4 reasons why most firms prefer open office layout. (4 marks)
5. In the spaces provided below indicate the type of wholesaler described by each of the statement below. (4 marks)
 - a) Serves all parts of the country
 - b) Customers pick goods and pay for them at the cashier's desk
 - c) Do not take physical possession of goods as they do not have storage facilities
 - d) Deal in a wide range of goods
6. Highlight **four** importance of entrepreneurship to an economy.
7. Highlight **4** reasons that would make an individual engage in business. (4 marks)
8. The diagram below shows a shift in supply curve to the left. State factors that can cause this. (4 marks)



9. Outline **four** functions of money. (4 marks)
10. Highlight **four** malpractices by traders against which consumers may need protection by the government. (4 marks)
11. Identify four factors that a firm may consider in deciding where to locate its operations. (4 marks)
12. For each of the following cases, name the motive of holding money. (4 marks)
 - a) To meet daily needs
 - b) To meet an unforeseen circumstance

- c) To take advantage of anticipated future fall in price ..
 d) Pay for daily transport
 13. List **four** errors that can make a trial balance not to balance. (4 marks)
 14. Identify **four** factors that may limit the growth of a country's national income.(4marks)
 15. Outline **four** circumstances when high population may be desirable. (4 marks)
 16. Highlight **four** roles of warehousing in indirect production. (4 marks)
 17. The information below relates to the business of Jua Kali traders between 2nd and 8th June 2017
 a) Started business with shs 10,000 cash
 b) Bought goods worth shs 14,000 paying shs 8,000 cash and the balance to be paid later.
 c) Sold some goods worth shs 6,000 for 9,000 cash
 d) Paid for the goods bought on credit shs 3,000 cash.
 e) Banked shs 1,000 cash into the business bank account.
 State the account to be debited and account to be credited in each transaction

Transaction	Account to debit	Account to credit
-------------	------------------	-------------------

18. Outline **four** features of a perfect competitive market. (4 marks)
 19. In the spaces provided, give the level of inflation that fit the description given. (3 marks)
 a) General price levels rise gradually by a single digit
 b) Where there is drastic loss in the value of money
 c) Where the general price levers increase rapidly and the inflation rate is 90%
 20. Outline 4 circumstances under which personal selling would be appropriate. (4 marks)
 21. The following information was extracted from the books of Jane's Duka as at 31st December 2004.
 Opening stock 40,000
 Gross profit 80,000
 Margin 16%
 Return inwards 30,000
 Rate of stock turnover 6 times.
 Required:
 Determine
 i) Sales for the year. (2 marks)
 ii) Closing stock (2 marks)
 22. Highlight **four** factors to be considered when choosing a method of distributing goods. (4 marks)
 23. Outline **four** factors that determine the amount of premium in life assurance. (4 marks)
 25. Identify **four** items that can affect stock of a business. (4 marks)

FRIENDS SCHOOL KAMUSINGA
BUSINESS STUDIES
Paper 2
FORM 4 – 201

1. a) Explain **five** emerging issues in office management. (10 marks)
 b) Explain **five** reasons why countries prepare development plans. (10 marks)
 2. a) Discuss **five** circumstances under which an insurance contract may be terminated. (10 marks)
 b) Highlight five problems likely to be faced by consumers when a firm operates as a monopoly. (10 marks)
 3. a) Mathioya Enterprises started business with sh 800,000 in cash on 1st June 2011.
 June 2011 :2 Deposited sh 450,000 cash into the bank
 :8 Purchased goods for resale sh 40,000 in cash
 :11 Took sh 20,000 in cash for personal use.
 :19 Paid salaries shs 120,000 by cheque.
 :25 Cash sale 85,000
 :30 Paid salaries shs 80,000 by cheque.
 Required:
 i) Enter the above transactions in Mathioya Enterprises ledger accounts.
 ii) Balance the ledge accounts and extract a trial balance as at 30th June 2011. (12 marks)
 b) Explain four measures put in place by the Transport Licensing Board (TLB) to curb road Carnage

in Kenya. (8 marks)

4. a) Kenya, a member of East African community, has been experiencing deteriorating terms of trade. Explain five factors that could have contributed to this trend. (10 marks)
- b) Most governments continue operating public corporations in their countries despite their dismal performance. Explain **five** reasons why this is so. (10 marks)
5. a) Discuss **five** measures the government can undertake to promote entrepreneurship practices in Kenya. (10 marks)
- b) Explain with the aid of a well labelled diagram the effects of setting price above the equilibrium price. (10 marks)
6. a) Explain **five** principles of public expenditure. (10 marks)
- b) The following balances were extracted from the books of accounts of Kangema Enterprises as at 31st December 2010.

Shs	
Stock (31st December 2010)	294,600
Carriage outwards	20,000
Carriage inwards	31,000
Return outwards	32,200
Purchases	1,187,000
Sales	1,851,000
Discounts received	19,000
Salaries and wages	362,800
Discounts allowed	30,400
Insurance	36,800
Stock (1st January 2010)	236,000

Required

Prepare the trading, profit and loss account for the year ended 31st December 2010. (10 marks)

BAHATI GIRLS' HIGH SCHOOL NAKURU
BUSINESS STUDIES
Paper 1
FORM 4 – 201

1. Highlight **four** reasons why public relations is a popular way of product promotion among bank (4mk)
2. Mention **four** non-tax internal sources of revenue to the government. (4mks)
3. Outline **four** measures that an employer can put in place to improve the performance of her human resource. (4mks)
4. State whether each of the following transactions will increase, decrease or have no effect on the Balance Sheet totals (4mks)

Transaction	Effect on Balance sheet totals
a) Sold a private car and deposited the money in business bank account	
b) Withdrew money from bank for office use	
c) Paid Mr. Kimeli, a creditor in cash	
d) Purchased a Motor car by cheque	

5. Highlight **four** conditions that must be met in order for an insurance contract to be valid. (4mks)
- Enter the following transactions in the relevant book of original entry (4mks)
- 2014 June 1. Made cash purchases worth sh. 25,000

„ 5. Paid sh.38,000 by cheques in full settlement of a debt owed to Kibogong after deducting a 5% cash discount.

„ 12. Bought stationery and paid by cash sh.19,000.

„ 19. Settled a debt of sh.90,000 owed to Yatich stores by cheque after deducting a 3% cash discount.

„ 28. Paid the month's salaries of sh 80,000, by cash, sh. 30,000 and the balance by cheques.

6. Outline **four** ways which the government can use to influence the supply of maize in Kenya. (4mks)

7. Outline **four** negative effects of inflation to an economy. (4mks)

8. Highlight **four** benefits enjoyed by a holder of a credit card (4mks)

9. The following balances relate to the business of Roba Traders during the period ended 31st March 2014.

	Shs.
Cash at bank	680,000
Premises	500,000
Machinery	175,000
Creditors	190,000
Furniture	85,000
Motor van	200,000
Cash in hand	50,000

Extract the trial balance of Roba Traders as at 31st March 2014. (4mks)

10. Highlight **four** circumstances under which air transport can be preferred to transport goods from one place to another. (4mks)

Study the following document used in home trade.

SIRO TRANSPORTERS CO. LTD SIRO BUILDING, OLOO STREET, NANDI ROAD P.O BOX 100, ELDORET			
SUPPLIER'S NAME & ADDRESS		BUYER'S NAME & ADDRESS	
HANDLING INFORMATION			
QUANTITY TOTAL	DESCRIPTION	WEIGHT(KGS)	COMMODITY /ITEM NUMBER
TRANSPORT CHARGES PAID			
SIGNATURE OF TRANSPORT CO.		SIGNATURE OF SELLER	
DATE		DATE	

I. Name the document shown above(1mk)

II. Name two uses of the document (2mks)

11. List **four** costs incurred by intermediaries in the chain of distribution (4mks)

Prepare ledger accounts from the following transactions relating to Tito Traders for the month of January 2015 (4mks)

January 5th sold goods for Shs 20,000 cash

10th bought furniture for Shs 50,000 on credit from Jamwal Traders

21st Paid Shs 10,000 cash to Jamwal traders

21st Returned furniture worth Shs 6,000 found damaged to Jamwal Traders

12. Highlight any **four** features of time deposit account (4mks)

Name **four** commercial services that facilitate trade. (4mks)

The following balances were extracted from the books of Njoro Traders for the period ended 31st December 2013

	Ksh.
Gross profit	10,000
Salaries	2,000
Commission income	4,000
Rent received	3,000
Electricity	2,000
Carriage outwards	4,000

Prepare a profit and loss account (4mks)

13. Highlight **four** factors that determine the National income of a country. (4mks)
14. Highlight **four** causes of demand pull inflation (4mks)
- Outline **four** ways in which the problem of scarce resources can be addressed by a consumer. (4mks)
15. Highlight **four** ways in which local resources can be managed to alleviate unemployment problems in Kenya. (4mks)
16. Outline **four** factors that comprise a negative internal environment in a business. (4mks)
- The following information relates to Waruhio Traders as at 31st December 2011.

Waruhio Traders
Balance Sheet
As at 31st December 2011

<u>Fixed Assets:</u>	Shs.		Sh.
Furniture	203,000	Capital	359,000
		Plus Net profit	<u>114,000</u>
<u>Current Assets:</u>			473,000
Stock	174,000	Less Drawings	<u>73,000</u>
Debtors	113,000		400,000
Cash at Bank	53,000	<u>Short term liabilities:</u>	
		1 year Loan	79,000
		Creditors	<u>64,000</u>
	<u>543,000</u>		<u>543,000</u>

- a) Calculate the total current assets. (1mk)
- b) Determine the capital owned. (2mks)
- c) Calculate the working capital (1mk)
17. Given below are functions of office equipment. Identify the name of the equipment against the rightful use. (4mks)

Functions of the Machine	Office Equipment
a) Used in posting information to ledgers and preparing payrolls	
b) To transmit printed messages such as photographs, letters, and maps	
c) Usually fire proof where important documents in an organization are stored	
d) Used to carry out many functions such as storing information, typing and performing complex calculations	

18. Outline **four** factors that may give rise to monopoly power in an economy. (4mks)

BAHATI GIRLS' HIGH SCHOOL NAKURU

BUSINESS STUDIES

Paper 2

FORM 4 –MODEL TEST PAPER

1. (a) Explain **five** measures put in place by the government to bring order in road transport sector in Kenya today. (10 marks)
- (b) Explain **five** reasons why per capita income is not a good indicator of standards of living. (10 marks)
2. (a) On 1st November 2013: Tabagon Co. Ltd. had a balance of shs. 12,000 at the bank and shs. 2500 in hand. During the month, the following transaction took place;
- Nov. 1 Cash sales Shs. 2500, cash purchase Shs. 1750
- Nov. 3 Paid the following accounts by cheque.
- Kirop Shs. 1500 less 5% cash discount
- Kirui Shs. 2000 less 5% cash discount
- Nasimiyu shs. 2100 less 3 % cash discount
- Nov. 5 Received the following amounts from debtors,

Ondiek shs. 1200, Jane shs. 3850 and Mueni by cheque shs. 2050 after allowing her shs. 300 cash discount.

Nov. 14 Paid office cash to the bank shs. 2000

Nov. 17 Cash sales 8500

Nov. 22 Mueni paid her account of shs. 5000 by cheque less 10% cash discount

Nov. 28 Withdrew all the money from the bank for office use except shs. 1000

Nov. 29 Paid salary cash shs. 8000

Nov. 30 A cheque received from Mueni on Nov. 5th was dishonoured.

Prepare Tabagon Co. Ltd. three column cash book. **(10 marks)**

(b) Describe the procedure of obtaining an insurance claim. **(10 marks)**

3. (a) Explain the meaning of the following terms as used in business ownership. **(10 marks)**

(i) Franchising

(ii) Merger

(iii) Holding company

(iv) Front Office Savings Account (FOSA)

(v) Globalization

(b) Explain **five** features of a hypermarket. **(10 marks)**

4. (a) Explain **five** emerging issues in office practice today. **(10 marks)**

(b) Explain **five** reasons that account for the existence of small firms in an economy. **(10 marks)**

5. (a) Explain **five** ways in which communication enhances trading activities. **(10 marks)**

(b) Highlight **five** factors that facilitate entrepreneurial development in an economy. **(10 marks)**

6. (a) The following trial balance was extracted from the ledgers of Gathioro's mobile phones business for the year ended 31st Oct 2013.

**Gathioro's mobile phones
Trial Balance
As at Gathiro's 31st Oct 2013**

Details	Dr. (Shs)	Cr. (Shs)
Sales		855,000
Purchase	420000	
Sales returns	12000	
Purchase returns		20000
Creditors		165000
Debtors	63000	
Motor vehicle	480000	
Cash in hand	65000	
Furniture	190000	
Carriage inwards	14000	
Stock	280000	
Capital		626250
Drawing	88000	
Telephone	6400	
Insurance	8200	

Postage	3850	
Rent	19600	
Discounts received		4000
Advertising	12900	
Discount allowed	7300	
	1670250	1670250

On 31st Oct. 2013, the business had closing stock valued at Shs. 60,000

Required

- (i) The trading, profit and loss a/c for the year ended 31st Oct 2013. **(8 marks)**
- (ii) A balance sheet as at that date. **(4 marks)**
- (b) Explain **five** services rendered by the Central Bank to the government. **(10 marks)**

NAIROBI SCHOOL
BUSINESS STUDIES
Paper 1
FORM 4 –MODEL TEST PAPER

1. Give **four** factors that limit entrepreneurial development in Kenya. (4mks)
2. State **four** methods that are used to reproduce documents in an office. (4mks)
3. State **four** reasons that make it necessary to a business to maintain a healthy environment. (4mks)
4. Outline **four** demerits associated with water transport. (4mks)
5. State **four** reasons why the government should create an enabling environment for investors. (4mks)
6. The following figures related to Kwale Traders for the year ended 31/12/2014.

Details	Ksh
Capital (31/12/14)	940,000
Net loss	20,000
Additional investment	420,000
Monthly drawings	4,000

Required: Determine the capital as at 01/01/2014 (4mks)

7. Highlight **four** advantages of informal communication within an organization. (4mks)
8. Outline **four** benefits that may accrue to a community that is involved in business activities. (4mks)
9. State **four** advantages of a private warehouse to a manufacturer. (4mks)
10. Outline **four** circumstances under which a wholesaler becomes essential in the chain of distribution. (4mks)
11. For each of the following account titles, indicate the appropriate type of account. (4mks)

Account title	Type of account
a) Rent income A/C	
b) Bank A/C	
c) David (supplier) A/c	
D) Sales A/C	

12. Give **four** reasons why mobile phone money transfer services are gaining popularity among many Kenyans. (4mks)
13. Highlight **four** negative effects of high taxation levels in the economy. (4mks)
14. The following statements relate the terms of sale used in international trade. Indicate the term of sale that is best described.

Statement	Term of sale
a) The price quoted includes the cost of goods and any other expensive up to	

importers premises	
b) Price quoted covers the goods as they are in exporters premises.	
c) Price quoted includes expenses for transporting the goods from the sellers warehouse up to the nearest railway station.	
d) Price quoted includes the movement of goods up to when they are on board the ship.	

15. State **four** important information that should be contained in an insurance policy. (4mks)
16. State **two** characteristics of each of the following balance sheet elements. (4mks)
- (a) Assets
- (b) Liabilities
17. Highlight **four** circumstances under which a trader may offer after sales services. (4mks)
18. Outline **four** reasons a firm may remain small. (4mks)
19. State **four** features of monopolistic competition market. (4mks)
20. State the source document used for each of the following transaction. (4mks)

Transaction	Source document
a) To support credit sale of goods	
b) Inform a customer that his account has been reduced.	
c) To ask a dealer to supply specific goods.	
d) Correction of an under charge error.	

21. Highlight **four** items that would be included in measurement at national income using expenditure approach. (4mks)
22. State **four** causes of declining population. (4mks)
23. Outline **four** reasons why business prepare ledger accounts. (4mks)
24. Rotich Traders provide you with the following information.
- | | |
|--------------------|---------------|
| Margin | 25% |
| Cost of sales | 7500 |
| Opening stock | 1000 |
| Closing stock | 500 |
| Operating expenses | 2% of capital |
- Sales and capital are in the ratio of 1:4 respectively.

Required:

- (a) Rate of stock turn over (1mk)
- (b) Purchases (1mk)
- (c) Rate of return on capital (2mks)

Classify each of the following as either public good, intermediate good, non material good or producer good. (4mks)

- (i) Insurance-
- (ii) Tractor –
- (iii) Cotton-
- (iv) Law court-

NAIROBI SCHOOL
BUSINESS STUDIES
Paper 2
FORM 4 –MODEL TEST PAPER

1. a) Discuss **five** merits of pay as you earn (PAYE) system of tax collection. (10mks)
b) Explain **five** reasons why a producer would prefer to use radio than newspaper to advertise his products. (10mks)
2. a) Explain **five** ways of controlling cost push inflation in the economy. (10mks)
b) Discuss **five** reasons that would make government opt to sell some of its public corporations. (10mks)
3. a) Describe **five** circumstances under which a firm may be influenced to locate its operations near source of raw materials. (10mks)

b) The trial Balance of Kayo Traders as at 1/6/2008 is given below.

Details	Dr(sh)	Cr (sh)
Stock	76,500	
Creditors		450,400
Debtors	350,000	
Bank	260,400	
Fixed Asset	970,200	
Cash	120,500	
Capital		1,300,000
Lighting due		27,200
	<u>1,777,600</u>	<u>1,777,600</u>

During the month the following transactions took place in June 2008.

- 5th Paid a creditor 228,000 cheque in full settlement of debt after deducting 5% cash discount.
15th Withdrew 100,000 from bank for office use.
28th Received 160,000 cash from a debtor after allowing cash discount 40,000.
Record the above transaction in the relevant ledger accounts and balance them off. (10mks)

4. a) Explain **five** ways in which large-scale firms are able to reduce their cost of operations. (10mks)
b) Outline **five** measures that the government of Kenya has put in place to protect consumers from unscrupulous business practices. (10mks)
5. a) Explain **five** reasons why a business would adopt ethical practices while conducting its operations. (10mks)
b) Discuss **five** ways that the government can use to reduce level of unemployment. (10mks)
6. a) Give **five** differences between hire purchase and credit terms of payment. (10mks)
b) On 1st Sep 2018 JB enterprise had the following balance

Cash 55,000
Bank 250,000 (Cr)

During the month the following transactions took place.

- Sep 2nd : Cash sales banked 535,260
3rd : Bought ribbons in cash 4,500
8th : Paid Wangila a creditor 94,000 by cheque in full settlement of his account after deducting 6% cash discount.
12th : Received a cheque 58,800 from wetu after allowing her cash discount of 1200.
14th: Purchased goods worth 10,000 on credit from John.
15th: Paid salaries 34,000 cash.
25th: Withdrew 50,000 from bank for office use.
28th: Onyango a debtor paid her account at 75,000 by cheque less 10% cash

- discount.
 30th: Deposited all cash into the bank except 13,700.
 Required: Prepare a duly balanced 3 – column cash book as at 30th Sept 2018. (10mks)

MOI GIRLS HIGH SCHOOL
BUSINESS STUDIES
Paper 1
FORM 4 –MODEL TEST PAPER

1. Outline **four** external business environments that may negatively affect performance of the business. (4 marks)

2. Complete the table below. (4 marks)

Assets	Capital	Liabilities
(i) 63,450	44,850	_____
(ii) _____	650,230	123,500
(iii) 896,470	_____	241,439
(iv) 781,000	450,000	_____

3. State **four** components of Business studies. (5 marks)
 4. State **four** reasons why it is important to prepare business plans. (4 marks)
 5. Mention **four** roles played by intermediaries in the chain of distribution. (4 marks)
 6. State **four** trade promotion tools used by producers to attract traders to retail their products (4 marks)

7. Outline **four** differences between insurance and assurance. (4 marks)

Insurance	Assurance
(i)	
(ii)	
(iii)	
(iv)	

8. Give **four** types of expenditure used in measuring National Income using the expenditure approach. (4 marks)
 9. Outline **four** advantages a firm may enjoy by being quoted at the Nairobi Securities Exchange. (4 marks)
 10. For each of the following transactions, state the account to be debited and the account to be credited in respect to the following transactions. (4 marks)

Transactions	A/c to be Debited	A/c to be Credited
(i) Bought goods and paid by cheque		
(ii) Donated personal savings to the business		
(iii) Deposited business cash in the bank		
(iv) A debtor paid cash for credit sales		

11. Match each of the following classes of business activities with the correct statement in the table below. (Manufacturing, Extraction, Processing, Distribution). (4 marks)

Statement	Activity
-----------	----------

(i)	Combining different raw materials and converting them into finished goods.	
(ii)	Collecting goods from various producers and storing them for onward sale.	
(iii)	Drilling for oil	
(iv)	Flour milling	

12. Outline **four** factors that may accelerate the growth of a firm. (4 marks)
13. State **four** causes of changes in capital for a business. (4 marks)
14. Highlight **four** challenges that a person may encounter when using a mobile phone. (4mks)
15. State **four** circumstances under which a pro-forma invoice can be used. (4 marks)
16. Kenya is currently experiencing a high rate of unemployment. Highlight any **four** measures that the country may take to reduce unemployment. (4 marks)
17. Outline **four** reasons for continued existence of portage despite advanced transport system in Kenya. (4 marks)
18. Highlight **four** reasons for the increased market demand for a given commodity. (4mks)
19. Outline **four** advantages of an open office layout. (4 marks)
20. Outline **four** characteristics of human wants. (4 marks)
21. Give **four** errors that cannot be revealed by a trial balance. (4 marks)
22. Outline **four** circumstances under which a government may find it necessary to form a Parastatal. (4 marks)
23. Highlight **four** features of a perfect competition market structure. (4 marks)
24. Record the following information of Oraro Traders in the two column cash book and balance it out. (4 marks)

6/6/2012: Balance were as follows

Cash sh. 60,000

Bank overdraft sh. 50,000

10/6/2012: Sold goods worth Sh. 1800 and received a cheque.

12/6/2012: Deposited ksh. 20,000 into the bank account

14/6/2012: Withdrew all the money from the bank except ksh. 500 for business use.

Date	Details	F	Cash	Bank	Date	Details	F	Cash	Bank
------	---------	---	------	------	------	---------	---	------	------

25. Name the types of warehouses associated with each of the statements given below. (4mks)

Statement	Type of warehouse
(i) Goods can be stored before payment of customs duty	
(ii) Individuals can hire storage facilities	
(iii) Goods are stored from several manufacturers	
(iv) Specialized goods are stored	

MOI GIRLS HIGH SCHOOL
BUSINESS STUDIES
Paper 2
FORM 4 –MODEL TEST PAPER

1. (a) Explain **five** characteristics of human wants. (10 marks)
- (b) Describe **five** measures being undertaken by the Kenya government to solve unemployment. (10marks)
2. (a) Explain **five** circumstances under which an Insurance contract may be terminated. (10 marks)
- (b) Prepare a daily balanced three column cashbook from the following information.
- Jan 1 Bal b/d cash sh. 4,000 bank sh. 27,000

- Jan 4 Settled Olwem creditors account of sh. 8000 by cheque having deducted 6% Cash discount.
- Jan 8 Received sh. 6000 cash from Mutoma traders
- Jan 16 Deposited sh. 4500 to the bank
- Jan 24 Withdrew sh. 9200 from the Bank for Private use
- Jan 29 Received sh. 19,950 from Kahawa by cheque after allowing 5% discount
- Jan 31 Banked all the cash leaving only sh. 1500 in the office.
3. (a) Describe **five** principles that governs the running of Co-operatives. (10marks)
 - (b) Explain **five** factors that may promote entrepreneurship in a country. (10marks)
 4. (a) Explain **five** errors that are not disclosed by the Trial balance. (10marks)
 - (b) Explain **five** factors that have caused decline in supply of maize in Kenya. (10marks)
 5. (a) Explain **five** factors that may influence the level of national income in a country. (10 marks)
 - (b) Describe **five** advantages of a bounded warehouse to the importer. (10marks)
 6. (a) Describe **five** differences between a perfect competition market and a monopoly market. (10 marks)
 - (b) Burecho traders had the following balances on 1st August 2010.
- | | |
|-----------|--------|
| Bank | 40,000 |
| Debtors | 20,000 |
| Creditors | 60,000 |
- The following transactions took place.
- August 5. Bought goods worth 9000 and paid by cheque.
- August 6 Paid creditors 10,000 by cheque.
- August 22 Received a cheque of 20,000 from sales
- August 28 Received sh. 120,000 cash from a debtor which he banked the same day.
- August 29 Withdrew sh. 5,000 from Bank to pay wages.
- Required: Open relevant ledger accounts and extract a Trial balance. (10 marks)

SUNSHINE SECONDARY SCHOOL
BUSINESS STUDIES
Paper 1
FORM 4 –MODEL TEST PAPER

1. a) Name **five** books of the Apocrypha. (5marks)
- b) From the Genesis stories of creation, outline seven teachings about human beings. (7marks)
- c) Explain **four** differences between the first and second creation account. (8marks)
2. (a) Narrate the call of Abraham (Genesis 12: 1-9). (8marks)
- b) Identify **six** challenges faced by Moses during the Exodus. (6marks)
- c) Give **four** differences between the new covenant foretold by Jeremiah and the Sinaitic covenant. (6marks)
3. (a) State **seven** factors that led to the decline of King Solomon's Kingdom. (7marks)
- b) Outline **six** lessons Christian can learn about the nature of God from the contest at Mount Carmel. (6marks)
- c) Explain how King Ahab broke the covenant way of life in the story of Naboth's vineyard. (7marks)
4. (a) State **five** ways in which Old Testament Prophets received God's revelation. (5marks)
- b) Explain the **five** visions of prophet Amos. (10marks)
- c) What social evils would Amos condemn in Kenya today (5marks)
5. (a) Explain four reasons why Jeremiah condemned human sacrifice. (8marks)
- b) Outline **five** characteristics of the new covenant foretold by Jeremiah. (5marks)

c) How can Christians avoid God's judgement punishment today?
(7marks)

6. (a) Highlight **six** ways on how the traditional concept of the community has changed in the society today. (6marks)
(b) Explain eight roles of elders in the African Traditional communities. (8marks)
(c) State **six** responsibilities of priests in traditional African communities. (6mar)

SUNSHINE SECONDARY SCHOOL
BUSINESS STUDIES
Paper 2
FORM 4 –MODEL TEST PAPER

1. (a) Highlight the message of prophet Isaiah about the Messiah. (7 marks)
(b) Describe the annunciation of the birth of John the Baptist. (6 marks)
(c) With reference to the incident when Jesus was dedicated to God at the age of forty days, outline **seven** revelations of Simeon and Anna about His life. (7 marks)
2. (a) Using examples give **four** reasons why Jesus faced opposition from the Jewish, religious leaders in Galilee. (8 marks)
(b) Describe the healing of the man with a withered hand in Luke 6: 6 – 11. (7 marks)
(c) Identify **five** lessons that Christians learn from the healing of the Garesene Demoniac. (5 marks)
3. (a) Explain the parable of the widow and unjust judge. (7 marks)
(b) Outline Jesus teaching on the role of the Holy Spirit. (7 marks)
(c) Give reasons why the resurrection of Jesus is important to Christians. (6 marks)
4. (a) Outline the events that took place at Mt. Olives like 22: 39 – 63. (6marks)
(b) Identify **six** reactions of various people who witnessed Jesus' crucifixion. (6marks)
(c) What evidence is there to prove that Jesus resurrected? (7marks)
5. (a) Write down **seven** teachings about Jesus from Peter's speech on the day of the Pentecost. (Acts 2:14-36) (7 marks)
(b) State **seven** teachings of Jesus on the role of the Holy Spirit. (7 marks)
(c) Describe how the gifts of the Holy Spirit have been misused in the church today. (6 marks)
6. (a) Explain how the unity of believers is expressed in the image of the Bride. (8 marks)
(b) Explain how the New Testament uses the image of the vine and the branches to illustrate the unity of believers (John 15:1-10). (7 marks)
(c) State **seven** ways of promoting unity of believers in the Christian Community today. (7 marks)

SACHO HIGH SCHOOL
BUSINESS STUDIES
Paper 1
FORM 4 –MODEL TEST PAPER

1. Highlight **four** difficulties faced by a consumer in the satisfaction of human wants. (4 marks)
2. State **four** contents of a business plan. (4 marks)
3. Outline **four** attributes of a good office worker. (4 marks)
4. Highlight **four** circumstances under which a debit note may be issued by the seller. (4 marks)
5. The cost of consumer goods in a basket of an average family is given below.

Year	2016	2017
	Ksh	Ksh
Maize flour	90	110
Sugar	100	115
Rice	80	90

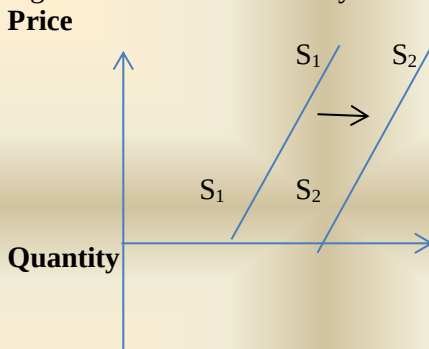
Determine the consumer price index using 2016 as the base year. (4 marks)

6. Highlight **four** factors that determine the fertility rate in a given economy. (4 marks)
7. With an aid of a well labeled diagram, illustrate the circular flow of income in a two sector economy. (4marks)

8. The following information relates to four businesses A, B, C and D. Fill in the missing figures. (4 marks)

Business	Assets Shs	Capital Shs	Liabilities Shs
A	4,010,000	3,210,000	a).
B	b).	9,312,000	211,100
C	1,301,111	c).	412,113
D	13, 917,331	11,716,000	d).

9. State **four** reasons that may lead to dissolution of a parastatal. (4 marks)
10. Give **four** importance of a warehouse to a trader. (4 marks)
11. Outline **four** benefits of the standard gauge railway (SGR) to the Kenyan economy. (4 marks)
12. Outline the steps that are followed in the personal selling process. (4 marks)
13. Highlight **four** channels that a fish farmer may use to distribute her produce in a local Market. (4 marks)
14. State **four** characteristics of a market. (4 marks)
15. Highlight **four** factors which may have led to a shift in the supply curve as illustrated below. (4 marks)



16. State **four** items of information one can obtain from an insurance policy. (4 marks)
17. Outline **four** advantages of using written communication in an organization. (4 marks)
18. Record the following transactions that took place in Otiende traders from 21st august to 24th August 2018 in the general journal. (4 marks)

2018

- 21st Aug: Bought furniture from Lowoi furniture mart at Sh 60,000 on credit
- 22nd Aug: Sold an old machinery on credit to Muchina at Sh. 90,000
- 23rd Aug: Bought a lawn mower from Farm Machines on credit Sh. 80,000
- 24th Aug: Purchased a water tank worth Sh. 140,000 on credit from Kentank ltd

19. Munyao an entrepreneur intends to start a business. Give **four** factors that he needs to consider when deciding on which goods to produce. (4 marks)

20. For each of the transactions given below indicate the accounts to be debited and the account to be credited. (4 marks)

Transactions	A/c to Debit	A/c to Credit
a). Started business with Shs. 400,000 in cash		
b). Returned goods worth Shs. 21,000 to Nyayo traders		
c). Banked Shs. 80,000 from cash till		
d). Proprietor took goods from the business for family use		

21. The following information was extracted from the books of Kisima wholesalers on 31st December, 2018.

- (i) Opening stock sh. 300,000
- (ii) Purchases sh. 1,550,000

- (iii) Closing stock sh. 220,000
(iv) Margin 1/6

Required : Draw Kisima wholesalers trading account. (4 marks)

22. Outline **four** sources of non-tax revenue to a County Government. (4 marks)

23. State the business environment described in the statements given below.(4 marks)

Description	Business Environment
a). Formal arrangement of activities that are carried out at various levels of the organization so that its objectives can be Achieved.	
b). Factors that affect buyers ability to buy the goods and Services offered by a business.	
c). Norms that regulate behaviors of people in a society.	
d). a combination of employees' expectations, beliefs and Values within the business.	

24. State the ledgers in which each of the following accounts are kept. (4 marks)

Ledgers

- a). Rent Account
b). Discount received Account
c). Cash Account
d). Creditors Account

25. Highlight **four** features of a fixed deposit account offered by commercial banks.

SACHO HIGH SCHOOL
BUSINESS STUDIES
Paper 2
FORM 4 –MODEL TEST PAPER

- 1.a Explain five characteristics of economic resources. [10 mks]
b Explain five merits of using audio visual means of communication. [10 mks]
2. a Explain five circumstances under which a partnership may be dissolved. [10 mks]
b The following balances were extracted from the books of Kasuku traders on 30th June 2018.
- | | | | |
|------------|---------|-----------|--------|
| Furniture | 18,000 | Debtors | 40,000 |
| Motal van | 40,000 | Creditors | 50,000 |
| Capital | 75,000 | Cash | 4,000 |
| C.F.C Loan | 50,000 | Bank | 19,000 |
| Stock | 54,000. | | |
- The following transactions took place in the month of FORM 4 2018.
FORM 4 10 Kasuku traders received ksh. 15,000 from a debtor by cheque.
FORM 4 15 Bought more furniture worth ksh. 2,500 and paid in cash.
FORM 4 20 Took goods worth 14,000 for home use.
Required.Prepare a balance sheet as at 30th FORM 4 2018. [10 mks]
3. a Describe five principles that guide insurance businesses in Kenya. [10 mks]
b The following information relates to Rose holdings for May 2015.
May 1.Sold goods to Garry at ksh. 660.
May 5.Bought goods from K.N.T.C for ksh. 7500.
May 10 Bought three office machines at ksh 2,500 each on credit from Fine electronics.
May 15 Goods worth ksh.1,850 were sold to Jack on credit.
May 18 She sold old furniture on credit to Twiga motols at KSH. 1,500 whose book value was ksh.1000.
Required.Record the above transactions in appropriate journals. [10 mks]
4. a Explain five features of monopolistic competition. [10 mks]
b Outline five differences between public and private warehouses. [10 mks]
5 .a Explain five documents used in home trade that are prepared by the buyer. [10 mks]

b Explain five ways in which the central bank of Kenya controls the operations of commercial banks. [10mks]

6.a The following transactions were extracted from the books of Furaha retailers.

April 1. Balance brought forward cash ksh 1,900 cash at bank ksh. 6500.

April 3. Sold goods in cash ksh. 1,200.

April 5. Paid transport by cheque ksh. 2,050.

April 7. Bought goods worth ksh. 2,500 in cash less 5% cash discount.

April 10. Paid postage charges by cheque ksh. 3,000.

April 12. Furaha deposited ksh. 600 from cash till to the business bank account.

April 13. Bought goods ksh. 8400 by cheque.

April 15. Sold some old furniture for ksh 3,900 and received the money by cash.

April 17. Bought a table to be used in the business whose value was ksh. 1,800.

April 18. Paid electricity bill by cheque ksh. 2,100.

April 20. Sold goods against a cheque for ksh. 6,600 whose value was ksh. 6,850.

April 21. Took cash ksh 400 for family use.

April 26. Sold goods on credit to Kamani valued at ksh 4,500.

April 28. Received cash ksh. 1,500 from Bidii stores.

April 30. Deposited all cash with the bank except ksh. 3,525.

Required to prepare a three column cash book duly balanced.

[10 mks]

b Draw a well labeled diagram to show the effect of increase in demand and increase in supply on equilibrium point, equilibrium price and equilibrium quantity. [10mks]

KABARAK HIGH SCHOOL

BUSINESS STUDIES

Paper 1

FORM 4 –MODEL TEST PAPER

1. Highlight four social responsibilities of a business to its customers. (4mks)
2. State four gaps that may exist in a market to present an entrepreneur with a business idea. (4 mks)
3. In each of the following cases, state the type of office department described. (4 marks)

Description	Type of department
Dealing with complaints from customers	
Recruitment, employment and placement of staff.	
Maintaining a record of all suppliers of goods and services.	
Processing, manufacturing and assembling of products	

4. Draw four channels of distribution for imported maize. (4 marks)
5. In Kenya, there is a wide gap between the rich and the poor. Highlight four factors that contribute to this disparity in income distribution. (4 mks)
6. Give four reasons why most firms are preferring open office layout. (4 mks)
7. State **four** advantages of using the internet as a means of communication. (4mks)
8. Identify **four** reasons why hawking is very popular among the Kenyan youth. (4mks)
9. The following information relates to Beta Traders.

Shs.

Capital on 1st Jan. 2009

700,000

Drawings during the year

80,000

Investments during the year	460,000
Capital on 31 st Dec. 2009	900,000

Required:

Determine net profit/net loss during the year. (4mks)

10. Insurance business has become very unpopular among investors. Highlight **four** challenges that have resulted to this. (4mks)
11. Outline **four** ways in which land influences the location of industries. (4mks)
12. Highlight **four** disadvantages of external borrowing as a source of government revenue. (3mks)

13. Given below is a cash book extract from the books of account of Patel Enterprises.

2009			Sh	Sh	Sh	2009			Sh.	Sh.	Sh.
Dec 1	Balance	b/d		15,000	Dec 14	Dec 14	Bank	C		30,000	
2	Rono		2,000	38,000	20	20	Equipment				80,000
14	Cash	C			31	31	Drawings			7,000	

In relation to the entries appearing in the cash book extract, state the transactions that took place on each of the following dates. (4 marks)

(a) 2nd December, 2009.

(b) 14th December, 2009.

(c) 20th December, 2009.

(d) 31st December, 2009.

14. Name **four** ways in which the price of a commodity may be determined. (4 marks)

15. The following balances were extracted from the books of Nyaosi investment on 30th June, 2010.

	Ksh.
Sales	320,000
General expenses	76,000
Salaries	28,000
Cost of sales	240,000

- a) Prepare the Trading, Profit and Loss Account for Nyaosi investment. (3 marks)
- b) Calculate the profit margin (1 mark).

16. Highlight **four** advantages of transporting oil by pipeline rather than by road. (4 marks)

17. Give **three** differences between international trade and domestic trade. (3 marks)

18. Highlight **four** reasons that make it important for basic wants to be satisfied first before secondary wants (4mks)

19. Outline **four** reasons why cartels should be discouraged in a country (4mks)

20. In the spaces provided below indicate with a tick (✓) whether the following transactions will increase, decrease or have no effect on capital (4mks)

Transaction	Increase	Decrease	No effect
a) Sold a business van for cash			

b) Converted a private computer to business use			
c) Took stock from business for personal use.			
d) The business made profit			

21. With Kenya targeting Millenium Development Goals and Vision 2030, planning has become key component in their realization. Outline four qualities of a good development plan (4mks)

22. State **four** circumstances under which a businessman may prefer to build his own warehouse instead of using a public warehouse (4mks)

	Dr (Shs.)	Cr (Shs.)
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23. Outline **four** benefits a customer may get when buying goods from a supermarket (4mks)

24. The following information relates to Jua Kali traders as at 1st December 2008.

	kshs
Premises	190,000
Debtors	25,000
Cash at bank	15,000
Capital	230,000
Creditors	30,000
Stock	30,000

The following transactions took place in the month of December 2008.

Dec. 5th bought goods by cheques shs. 5,000

Dec 8th Recovered from debtors Shs. 10,000

Cash.

Dec 15th paid creditors 8,000 cash.

December 31st brought into the business 20,000 cash from personal savings.

Required:

Prepare the balance sheet as At 31/12/2008 (5mks)

25. State four advantages of self-employment (4mks)

KABARAK HIGH SCHOOL

BUSINESS STUDIES

Paper 2

FORM 4 –MODEL TEST PAPER

1. a) Describe **five** methods which may be used by commercial banks to advance money to customers (10mks)
- b) Explain **five** factors that influence the choice of a channel distribution (10mks)

Capital		250,000
Drawings	32,500	
Opening stock	46,100	
Purchases	284,400	
Sales		415,300
Return inward	3,600	
Return outward		6,700
Carriage inward	27,900	
Carriage outward	10,000	
Discount allowed	3,400	
Furniture	25,000	
Motor vehicle	144,700	
Creditors		54,250
Divided income		1,900
Premises	100,000	
Debtors	48,500	
	728,150	728,150

- 2 a) Differentiate between a co-operative society and a public limited company (10mks)
b) Explain **five** importance of entrepreneurship in Kenya. (10mks)
3. a) Discuss five ways the Kenyan economy benefits from indirect production. (8mks)
b) The following trial balance was extracted from the books of Gatukiyu Enterprises for the year ended 2009.

GatukuyuEnterprises
Trial Balance as at 31st Dec 2009.

Additional information:

Closing stock was valued at Shs.55,300

Depression is to be written off on fixed assets as follows;

15% on motor vehicle and 10% on furniture, both to be calculated on cost

Prepare

- i) Trading profit and loss account for the year ended 31st Dec 2009. (7mks)
ii) Balance sheet as at 31st Dec 2009. (5marks)
4. (a) Explain any **FOUR** factors that may be used in determining the size of a firm. [8 marks]
(b) The following information relates to Kagendo Trader as per the dates shown.

	1/1/2006	31/12/2006	
Motor vehicles	80,000	145,000	
Debtors 25,000	28,000		
Creditors		18,000	20,000
Outstanding standing	6,000	8,000	
Rent received in advance	10,000	4,000	
Office machine & equipments	35,000	31,000	
Stock		6,000	8,000
Premises		150,000	150,000

Kagendo had prepared a summary of cash transaction for the year 2006 as shown below.

Cash book summary

Cash in hand b/d 5,000	Salaries 101,000
------------------------	------------------

Cash at bank b/d 46,000
Debtors 90,000
Cash sales 102,000
Rent 116,000

359,000

359,000

Drawings 12,000
Creditors 50,000
Cash purchases 70,000
Motor vehicle 85,000
Insurance & rates 15,000
Cash in hand c/d 8,000
Cash at bank b/d 18,000

Required: Prepare Kagendo's trading profit and loss a/c for the year ended 31st Dec. 2006 and a balance sheet as at 31st Dec. 2006. [12 marks]

5. (a) It has been the will of the government of Kenya to create 500,000 jobs per year. Explain five reasons which have hindered the achievement of this goal. [10 marks]
(b) Explain five importance of filing documents in an organization. [10 marks]
6. a) Explain **five** contributions of an efficient transport to the economic development of a country (10mks)
b) With an aid of a diagram, explain how a firm in perfect competition attains its equilibrium output and price in the short run (10mks)

**GOLDEN ELITE EDUCATIONAL
CONSULTANCY P.O BOX 2345 KERICHO.
FOR MARKING SCHEMES CALL OR TEXT
MR CHEPKWONY ON 0724351706 OR
EMAIL kipkemoicos@gmail.com**